

General Terms and Conditions of Payment

the legitimate interests of the customer; the customer hereby consents in advance to return the products in such instances. Retrieving the products shall only be deemed a withdrawal from the contract if explicitly so stated by us. All costs resulting from retrieving the products (in particular transport costs) shall be borne by the customer. To the extent we do not explicitly declare our withdrawal from the contract the customer may request delivery of the products only once the purchase price and all costs have been paid in full.

- 5.2 The customer may resell or process the delivered products or mix or combine it with other items in the course of ordinary business only; however, the customer hereby assigns to us in advance all claims resulting from the resale, processing, mixing, combining or other legal grounds related to the delivered product (in particular from insurance contracts or unlawful acts) in the amount of the agreed final invoice total (incl. VAT). The same applies if a product is not resold but used by the customer for purposes of a contract for work and services or a contract for work and materials (*Werk- oder Werklieferungsvertrag*).
- 5.3 The reservation of title shall also apply to new products resulting from the processing of the initially delivered items, or their mixing or combining with other items, in each case at the full value of the respective new product. These processes shall be performed on our behalf so that we shall be deemed to be the manufacturer. If third-party ownership rights remain after processing of our products or their mixing or combining with third party products, we shall acquire joint ownership in the new product at the ratio of the objective value of the processed, mixed or combined products. If our ownership ceases as a result of the processing, combining or mixing, the customer hereby already transfers to us his title and any expectant rights in the new product in the amount of the invoice value of the products delivered by us, and shall store it on our behalf free of charge.
- 5.4 The customer shall be authorised to collect debt claims from the resale assigned to us under clause 5.2 as long as we have not revoked this authorisation. We will not collect such debt claims ourselves, as long as the customer properly fulfils its payment obligations towards us. Upon our first written demand the customer shall inform us about the debtors of the assigned claims and shall notify the debtors of the assignment.
- 5.5 We may revoke the customer's authorisation under clauses 5.2 and 5.4 to resell the products and to collect the debt claims assigned to us with immediate effect if the customer is in default of payment to us, experiences payment difficulties due to a significant deterioration of its financial situation or does not fulfil other material contractual obligations properly. In case the customer becomes subject to insolvency proceedings, or comparable proceedings under foreign law, discontinues payments, provides formal information of its financial status (*Vermögensauskunft*) according to Sec. 807 German Code of Civil Procedure (ZPO), or if a change of ownership occurs in the customer's business due to payment difficulties, the authorisation to resell products and to collect the debt claims assigned to us shall cease automatically.
- 5.6 The customer shall store our (jointly) owned materials on our behalf free of charge and with the due care and diligence of a prudent businessman and shall insure them against fire, burglary and other usual risks. Any required maintenance and inspection services have to be timely performed at the customer's expense.
- 5.7 The customer must not pledge or assign as security any products delivered under reservation of title or any products processed or manufactured on our behalf. The customer shall notify us immediately of any pledge or any other interference with our ownership rights by third parties and shall confirm our title in the respective product in writing, both to us and the third party. Any costs arising from resulting legal action shall be borne by the customer.
- 5.8 If the customer violates the contract, in particular by delays in payment, we shall be entitled to recover the goods; the customer hereby gives his advance consent to this recovery in such a case. The recovery shall be considered as a termination of contract only if explicitly stated by us. All costs incurred by the recovery (in particular transport costs) shall be charged to the customer. The customer may demand the delivery of goods recovered without an express notice of withdrawal only once the purchase price and all costs have been fully paid.
- 5.9 In case the reservation of title under clause 5.1 needs to be publicly registered or requires any other kind of cooperation by the customer in order to be valid, the customer hereby irrevocably consents to such registration and agrees to take all necessary actions at its own cost.

6. Prices and payment

- 6.1 Our prices are in EUR and are valid for delivery FCA (agreed place of delivery); statutory VAT, transport and packing costs are not included.
- 6.2 Unforeseen changes in costs beyond our control, such as costs for raw materials, wages, energy and other costs shall entitle us to adjust prices accordingly. For partial deliveries each delivery may be invoiced separately. If no specific prices have been agreed in the contract, our prices valid at the respective delivery date shall apply.
- 6.3 Our invoices are due immediately and payable without discount. Any discount has to be specifically agreed in writing.
- 6.4 We are not obliged to accept bills, cheques or other promises to pay, their acceptance shall not be considered a replacement of the underlying obligation (*Leistung an Erfüllung statt*) but only as an additional possibility for us to receive payment (*Leistung erfüllungshalber*).
- 6.5 The date of receipt of payment shall be the day on which the amount is in our possession or has been credited to our bank account. In case the customer is in default of payment we may charge interest at the rate of 9 percentage points above the base interest rate published by the Federal Bank of Germany (*Bundesbank*) for the duration of the default, plus a lump sum of EUR 40. This shall not restrict our right to claim additional damages or costs.
- 6.6 In addition, in case the customer is in default of payment, we may choose to call due any outstanding purchase price instalments or other existing claims against the customer as well as to make future deliveries under this or other contracts subject to provision of a security in advance or simultaneous (*Zug-um-Zug*) payment against delivery.
- 6.7 No interest will be paid on advance or partial payments.
- 6.8 The customer may set off or withhold payments only if his counterclaim is undisputed or *res judicata*. This restriction shall not apply to claims of the customer for corrective measures in relation to a defective product or completion of an unfinished product.
- 6.9 Upon request, the customer shall provide us with any documentary evidence for tax purposes (*i. a.* entry certificates (*Gelangensbestätigung*)), which we consider necessary under the applicable statutory provisions to prove our exemption from VAT for cross-border deliveries. In case of non-compliance the customer shall, after receipt of a corrected invoice, cover any VAT claims and interest imposed on us by the tax authorities. The customer shall inform us about the invalidity or any changes in its VAT identification number without undue delay.
- 6.10 In case the purchase price is paid by way of the credit note procedure for VAT purposes, the customer shall be solely responsible for compliance with the VAT related provisions on invoices. We shall not be liable for damages resulting from the credit note procedure, e.g. any refunds of input tax and payment of interest by the customer to the competent tax authorities.

7. Claims for defects

- 7.1 We shall be liable for defects of products delivered by us only according to the following provisions.
- 7.2 The customer shall properly fulfil its duties regarding inspection and lodging complaints under Sec. 377 German Commercial Code (*HGB*), i.e. the customer shall inspect the products without undue delay and shall notify us of any defects without undue delay, and, if a defect is discovered later in the ordinary course of business, shall notify us of such defect without undue delay after discovery.
- 7.3 If defective products are delivered, we shall be given the opportunity, prior to the start of manufacturing (processing or installing), to sort out such products and to remedy the defect or to make a substitute delivery, unless this cannot reasonably be expected from the customer. In case we are unable to accomplish this or fail to comply in due course, the customer may withdraw from the contract to this extent and may return the products at our risk. In case of urgency, the customer may, following consultation with us, remedy the defects himself or instruct a third party to do so. Expenses incurred by such remedial activities shall be reimbursed by us according to clause 8.
- 7.4 If the defect is discovered only after the start of manufacturing or initial operation, despite the fulfilment of all duties according to clause 7.2, the customer may demand subsequent performance (rework or substitute delivery at our discretion). The delivery of defective products results in a right of retention only insofar as it is in due proportion to the respective defect and the expected costs of the subsequent performance, and provided that the customer's counterclaim is based on the same contractual relationship.